# The Real Brokerage Inc.

This note frames the current earnings base for REAX with emphasis on profitability, capital structure, and cash-flow durability.

| Revenue | Net Income |
|---|---|
| $1.97B | -$8.1M |
| 55.7% | -69.5% |

| Operating Margin | Free Cash Flow |
|---|---|
| -0.5% | $65M |
| -76.4% | 35.9% |

## At a glance

- Revenue is $1.97B with 55.7% change versus the prior period.
- Net income is -$8.1M, indicating current earnings scale.
- Operating margin is -0.5%, supporting the current profitability profile.

# Executive Summary

**REAX** — Current period: 2025-12-31 | Prior period: 2024-12-31

REAX posted $1.97B in revenue (55.7% YoY) and -$8.1M in net income (-69.5% YoY) for 2025-12-31. Revenue growth coupled with declining net income suggests margin pressure or rising operating costs that bear monitoring in subsequent quarters. The profitability profile is defined by operating margin of -0.5% and net margin of -0.4%, framing the earnings quality behind the headline figures.
Current ratio stands at 1.41x in the locked annual basis, providing a baseline liquidity reference. The quick ratio of 1.41x confirms liquidity depth after excluding inventory from the coverage calculation.

Cash generation is anchored by $66M in operating cash flow (35.3% YoY), which converts to $65M in free cash flow (35.9% YoY). Capital expenditures of $1.1M (0.1% of revenue) reflect the reinvestment intensity required to sustain the current operating base and fund future growth.

Current balance-sheet and cash profile: current ratio 1.41x, free cash flow $65M.

## Snapshot Scorecard

| Metric | Current | Prior | Change |
|---|---|---|---|
| Revenue | $1.97B | $1.26B | 55.7% |
| Net Income | -$8.1M | -$27M | -69.5% |
| Operating Margin | -0.5% | -2.0% | -76.4% |
| Current Ratio | 1.41x | 1.34x | 4.9% |
| Free Cash Flow | $65M | $48M | 35.9% |

**Revenue**
**$1.97B**

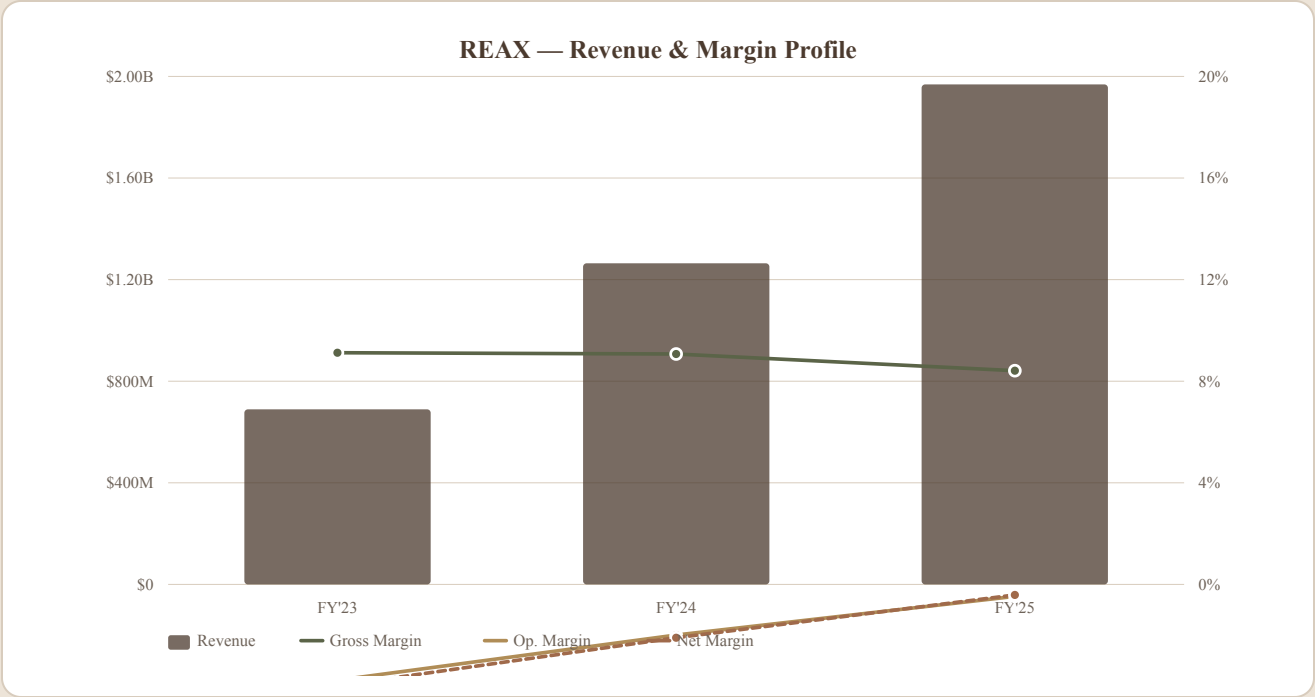
**Net Income**
**-$8.1M**

**Operating Margin**
**-0.5%**

**Free Cash Flow**
**$65M**

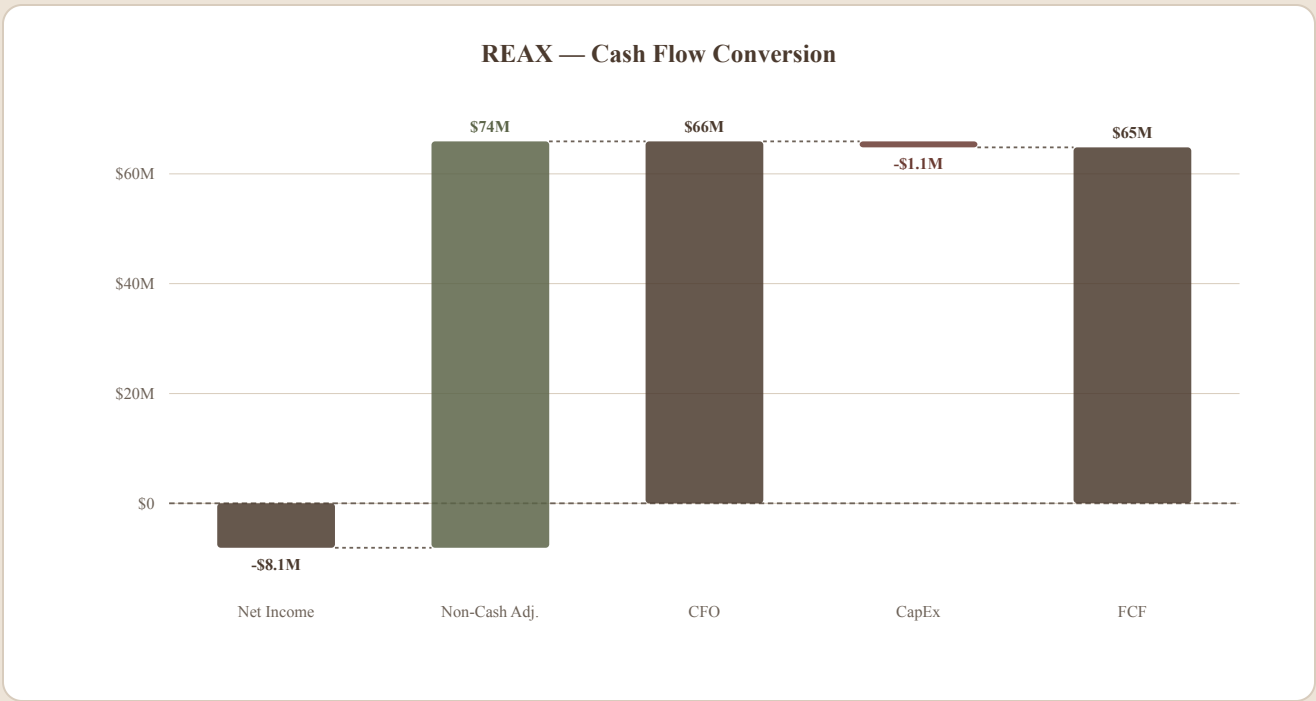
# Visual Highlights I

**REAX** — Current period: 2025-12-31 | Prior period: 2024-12-31




## Revenue Growth & Margin Profile

Revenue trend and margin structure across the most recent annual periods.

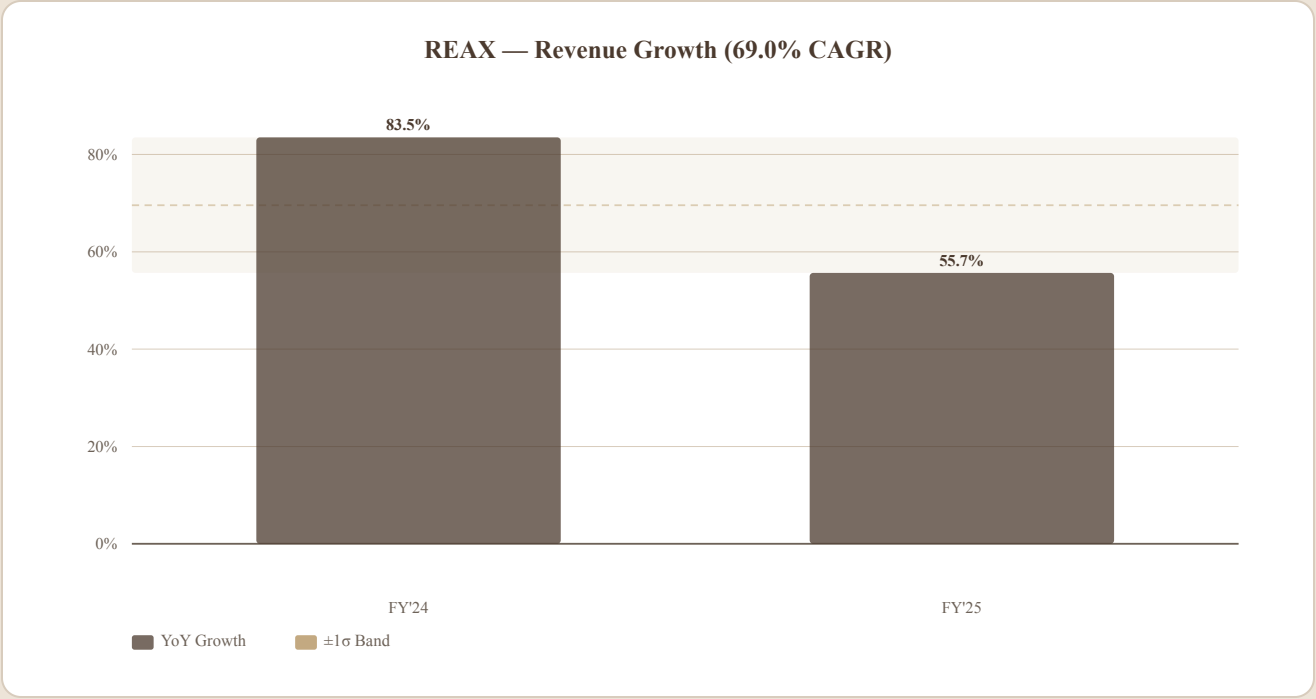



## Cash Flow Conversion

Bridge from earnings to free cash flow to assess conversion quality.

# Visual Highlights II

**REAX** — Current period: 2025-12-31 | Prior period: 2024-12-31




## Revenue Growth

Year-over-year growth path and stability over the latest annual periods.

## Interpretation Snapshot

Key interpretation anchors from the same annual data used in the charts.

- Return on equity is -15.7%, indicating current capital productivity.
- Current ratio is 1.41x, framing near-term liquidity coverage.
- Operating cash flow is $66M.

# Key Metrics Dashboard

**REAX** — Current period: 2025-12-31 | Prior period: 2024-12-31

## Profitability

| Metric | Current Value | Prior Period | Change (%) |
|---|---|---|---|
| Return on Equity | -19.4% | -82.6% | -76.6% |
| Return on Assets | -7.6% | -30.6% | -75.2% |
| Operating Margin | -0.5% | -2.0% | -76.4% |
| Net Margin | -0.4% | -2.1% | -80.4% |
| Gross Margin | 8.4% | 9.1% | -7.2% |
| Earnings Per Share (Diluted) | $-0.04 | $-0.14 | -71.4% |
| EBITDA | -$7.3M | -$24M | -69.3% |

## Liquidity & Leverage

| Metric | Current Value | Prior Period | Change (%) |
|---|---|---|---|
| Current Ratio | 1.41x | 1.34x | 4.9% |
| Quick Ratio | 1.41x | 1.34x | 4.9% |
| Cash Ratio | 0.44x | 0.43x | 2.8% |
| Equity Multiplier | 2.55x | 2.69x | -5.4% |

## Method Notes

- Period lock is deterministic: headline, dashboard, and appendix are aligned to the same annual basis.
- Derived metrics are formula-based and only shown when required source inputs are present.
- Unavailable, policy-excluded, and QA-excluded fields come directly from canonical reason codes rather than template-side omissions.

# Key Metrics Dashboard (Cont.)

**REAX** — Current period: 2025-12-31 | Prior period: 2024-12-31

## Scale

| Metric | Current Value | Prior Period | Change (%) |
|---|---|---|---|
| Revenue | $1.97B | $1.26B | 55.7% |
| Net Income | -$8.1M | -$27M | -69.5% |
| Operating Income | -$9.2M | -$25M | -63.3% |
| Total Assets | $127M | $87M | 46.5% |
| Stockholders' Equity | $52M | $32M | 60.5% |
| Total Liabilities | $75M | $54M | 38.2% |

## Cash Flow & Per Share (1/2)

| Metric | Current Value | Prior Period | Change (%) |
|---|---|---|---|
| Operating Cash Flow | $66M | $49M | 35.3% |
| Free Cash Flow | $65M | $48M | 35.9% |
| Capital Expenditures | -$1.1M | -$1.0M | 5.3% |
| FCF Margin | 3.3% | 3.8% | -12.7% |
| CFO Margin | 3.3% | 3.9% | -13.1% |

# Key Metrics Dashboard (Cont.)

**REAX** — Current period: 2025-12-31 | Prior period: 2024-12-31

## Cash Flow & Per Share (2/2)

| Metric | Current Value | Prior Period | Change (%) |
|---|---|---|---|
| CFO / Net Income | -8.13x | -1.84x | 343.0% |
| CapEx / Revenue | 0.1% | 0.1% | -32.4% |
| Asset Turnover | 18.44x | 14.60x | 26.3% |
| Book Value Per Share | $0.25 | $0.16 | 54.4% |
| Working Capital | $30M | $18M | 65.2% |

## Secondary Metrics

| Metric | Current Value | Prior Period | Note |
|---|---|---|---|
| Gross Profit | $166M | $115M | Deterministic carry-through from appendix source lines |
| Current Assets | $106M | $73M | Deterministic carry-through from appendix source lines |
| Current Liabilities | $75M | $54M | Deterministic carry-through from appendix source lines |
| Cash & Equivalents | $33M | $23M | Deterministic carry-through from appendix source lines |
| Shares Outstanding | 210.5M | 202.5M | Deterministic carry-through from appendix source lines |

# Commentary

**REAX** — Current period: 2025-12-31 | Prior period: 2024-12-31

## What stands out

- Revenue is $1.97B, with 55.7% growth versus the prior annual filing.
- Net income is -$8.1M, with -69.5% change year over year.
- Operating margin is -0.5% and net margin is -0.4%, indicating operating losses at both levels.

## Watch items

- Revenue growth of 55.7% is unusually large and should be checked for base effects.
- Monitor leverage and liquidity together: debt-to-equity is Unavailable and current ratio is 1.41x.

## Analyst interpretation

- REAX is not yet profitable, so the key decision point is the trajectory toward breakeven and whether cash runway supports continued operations.
- Balance-sheet posture is best read jointly: debt-to-equity at Unavailable and current ratio at 1.41x.
- Cash generation remains a central validation point, with free cash flow at $65M in the latest annual period.

## Next Filing Checklist

- Confirm whether REAX can sustain revenue at $1.97B through the next filing cycle.
- Track free cash flow conversion versus earnings; current reference is $65M.
- Reassess leverage and liquidity together (Unavailable debt-to-equity, 1.41x current ratio).

# Appendix

**REAX** — Current period: 2025-12-31 | Prior period: 2024-12-31

## Appendix A — REAX Income Statement

| Metric | FY2025 | FY2024 | FY2024 (May) |
|---|---|---|---|
| Revenue | $1.97B | $1.26B | Not reported |
| Cost of Revenue | $1.80B | $1.15B | Not reported |
| Gross Profit | $166M | $115M | Not reported |
| Operating Expenses | $175M | $140M | Not reported |
| Operating Income | -$9.2M | -$25M | Not reported |
| Net Income | -$8.1M | -$27M | Not reported |
| EPS (Basic) | $-0.04 | $-0.14 | Not reported |
| EPS (Diluted) | $-0.04 | $-0.14 | Not reported |
| Weighted Avg Shares (Diluted) | 219.9M | 191.2M | Not reported |
| R&D Expenses | $17M | $12M | Not reported |
| Pretax Income | -$8.8M | -$26M | Not reported |
| Income Tax Expense | -$740K | Not reported | Not reported |

## Appendix B — REAX Balance Sheet (Part 1/2)

| Metric | FY2025 | FY2024 | FY2024 (May) |
|---|---|---|---|
| Shares Outstanding | 210.5M | 202.5M | 189.0M |
| Total Assets | $127M | $87M | Not reported |
| Total Liabilities | $75M | $54M | Not reported |
| Total Stockholders' Equity | $52M | $32M | Not reported |
| Current Assets | $106M | $73M | Not reported |
| Current Liabilities | $75M | $54M | Not reported |
| Cash & Equivalents | $33M | $23M | Not reported |
| Accounts Receivable | $20M | $14M | Not reported |
| Marketable Securities | $17M | $9.4M | Not reported |

# Appendix (Cont.)

**REAX** — Current period: 2025-12-31 | Prior period: 2024-12-31

## Appendix B — REAX Balance Sheet (Part 2/2)

| Metric | FY2025 | FY2024 | FY2024 (May) |
|---|---|---|---|
| Other Current Assets | $3.1M | $1.8M | Not reported |
| Accounts Payable | $1.2M | $1.4M | Not reported |
| Accrued Expenses | $38M | $26M | Not reported |
| Other Current Liabilities | $9.6M | $3.0M | Not reported |
| Retained Earnings | -$113M | -$105M | Not reported |
| AOCI | $318K | $708K | Not reported |
| Treasury Stock | Not reported | -$2.5M | Not reported |
| Goodwill | $9.0M | $9.0M | Not reported |

## Appendix C — REAX Cash Flow Statement

| Metric | FY2025 | FY2024 | FY2024 (May) |
|---|---|---|---|
| Operating Cash Flow | $66M | $49M | Not reported |
| Capital Expenditures | -$1.1M | -$1.0M | Not reported |
| Investing Cash Flow | -$14M | $3.8M | Not reported |
| Financing Cash Flow | -$40M | -$33M | Not reported |
| Share Repurchases | -$39M | -$36M | Not reported |
| Depreciation & Amortization (derived) | $1.9M | $1.4M | Not reported |
| Depreciation | $761K | $504K | Not reported |
| Amortization of Intangibles | $1.2M | $892K | Not reported |
| Cash at End of Period | $60M | $47M | Not reported |

# Data Sources & Notes

| Ticker | CIK | Accession | Form | Filed | Primary Document |
|---|---|---|---|---|---|
| REAX | 0001862461 | 0001493152-26-008771 | 40-F | 2026-03-04 | https://www.sec.gov/Archives/edgar/data/1862461/000149315226008771/0001493152-26-008771-index.htm |
| REAX | 0001862461 | 0001493152-25-009312 | 40-F | 2025-03-06 | https://www.sec.gov/Archives/edgar/data/1862461/000149315225009312/0001493152-25-009312-index.htm |

## Method Notes

- Financial values are sourced from SEC EDGAR filings and normalized into statement-level metrics.
- Comparisons reflect each issuer’s latest annual filing period unless otherwise noted.
- Narrative text is descriptive only and does not alter deterministic calculations.

Report date: 2026-03-07. Retrieval date: 2026-03-07.

Disclaimer: For research use only; not investment advice.